

2026 Comparative Politics Comprehensive Exam

Day 2: Comparative Institutions

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Question

Are institutional constraints on action always necessary for the resolution of social/political/economic problems or for the stability of social/political/economic relations? Consider various reasons given in the literature for the need for institutions. How do institutions come into being? Is it possible to have social cooperation in politics without institutions? Provide empirical examples for different approaches to the emergence and design of institutions

Introduction

In this response, I examine the primary factors determining whether or not social, political, and economic phenomena are most appropriately addressed through institutional constraints or non-institutional alternatives, and how these “solutions” come to exist. I further consider whether those constraints (when necessary) take the form of either formal or informal institutions, which I further define in the following section(s). The paper proceeds as follows. First, I discuss the primary purposes of institutions in facilitating cooperation, focusing largely on their impacts regarding transaction costs and their resultant equilibrium outcomes. Second, I explore the role played by repeated interactions, and discuss non-institutional stability under certain conditions of repetition (which themselves may be achieved by means of institutions). Third, I consider how existing incentive structures may (or may not) be already aligned with optimal outcomes, transitioning into a focus on the role of social norms (and their inclusion as informal institutions). I conclude by discussing the ever-present philosophical debate between rational-choice-focused “new institutionalists” and their interpretivism-focused dissenters, and consider how our framing of institutions might facilitate a reconciliatory (and intellectually productive) future between these two factions.

I am, both in head and heart, an institutionalist. Yet, I concede that the degree to which institutions are necessary to facilitate the effective operation of society is not uniform. In this response, I intend to characterize a relatively broad literature within institutional theory, and consider the limits of its applicability. If my experience with the preceeding

section of this examination has taught me anything, it is that I cannot reasonably hope to discuss every such factor in the coming hours. Instead, I must relegate myself to exploring them in the coming years and decades.

What Do Institutions “Solve?”

North’s (1990*b*) construction of institutions as “the rules of the game” is perhaps one of the most famous definitions in contemporary political science, and for good reason. We can broadly characterize institutions as those influences which shape outcome behavior in a given social setting. We can map two such means of influence from North’s characterization: either the rules are unbreakable, in which they ultimately define the action set available, or they are breakable but utility-changing, in which they affect the *utilities* associated with the available action set (and thereby, under a rationalistic framework, the outcome behaviors selected). In either case, the end effect – behavioral alteration – can be achieved, though we will explore the limitations of this definition in our discussion of existing incentive alignment.

Yet, in determining when institutions are necessary, we must examine not only what they *are*, but also what they *do*.¹ Let us first consider North’s (1990*b*) characterization of institutions as “reducing transaction costs.” Through this framework, institutions exist to counter market² inefficiencies and facilitate lower-cost exchanges of goods, information, and power. If we are to hold this intent as a central focus of institutional development, then a core

¹or ought to do

²This is not merely an economic or trade market, but very well may include a political or policy market

factor in whether or not institutional arrangements are necessary to facilitate cooperation is whether or not those outcomes might be

Coordination Problems

Credibility Problems

An Evaluatory Framework

Though the above discussions are relatively foundational corners of social science, their inclusion in this response is not merely to demonstrate my knowledge of the literature³. Rather, from these characterizations of the problems which institutions solve, we can construct a framework for evaluating whether or not institutional solutions are either necessary or optimal in establishing cooperative outcomes.

Let us again consider North's discussion of "reduced transaction costs." If the role of institutions is to indeed facilitate lower-cost (and therefore more frequent) exchanges and interactions, then a core factor in whether or not a given institutional arrangement is necessary is whether or not it indeed provides lower transaction costs than would exist without it. North himself (1990*b*) examines this as a core evaluatory measure for institutional quality, positing that the effectiveness of an institution or arrangement of institutions can be broadly measured by evaluating its resultant impacts on transaction costs. Indeed, in considering the influence of the factors of institutional development explored in the main sections of this response, a core metric will be whether or not equivalent (or even lower)

³Though that's certainly a benefit!

transaction costs can be achieved in their absence.

Yet, we must further examine exactly how we intend to consider transaction costs, for two reasons. First, as North (North 1990*a*) discusses, a subset of institutions may intentionally *increase* some transaction costs. Various restrictions on property rights, for example, may be profitable for those with control over an institutional arrangement, and subsequently raise transaction costs.⁴ Second, it may not always be clear exactly what “altitude” the salient transaction costs are being reduced; that is, we may often need to evaluate a much broader behavioral pathway in order to identify ultimate reduction, especially if the targeted reduction in cost is due to some externality. For example, many regimes place additional sales taxes on alcohol and tobacco products, which surely increases market friction and local costs between those markets’ producers and consumers. Yet, in curbing alcohol and tobacco usage, the state may secure meaningful reductions in healthcare, emergency, and law enforcement expenses, freeing public funds for more productive investment. This *broad* reduction in transaction cost is accordingly achieved through a *localized* increase in transaction costs, but if we are to only consider the local lens, we may improperly evaluate these taxation institutions as ineffective.

⁴A useful note here, however – because this response is concerned with identifying when cooperation can be achieved with versus without institutions, the inclusion of “malicious” institutions can be almost summarily addressed: the alternative is almost certainly better.

References

North, Douglass. 1990a. *Institutions and Their Consequences for Economic Performance: In “The Limits of Rationality,” eds. Karen Cook and Margaret Levi.*

North, Douglass C. 1990b. *Institutions, Institutional Change and Economic Performance.*
Cambridge: Cambridge University Press.